Shriram Finance Ltd (SHRIRAMFIN)

ROE	15.9%
ROCE	11.3%
CFO Quality	Accrual Risk
Capital Allocation	Growth Funded by Debt

Strengths

• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.

• Operating profit margin above 25% indicates strong pricing power and cost discipline.

• Net profit compounding at above 20% over 5 years creates significant shareholder value.

• Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

• Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

• Debt-to-equity ratio of 3.99 is elevated and warrants monitoring.

• Free cash flow negative for 3 consecutive years raises concern about cash generation quality.

• Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.